accordingly, did not contain a "collection of information" requirement within the meaning of the PRA. However, final rule 211(h)(2)-1 prohibits an adviser from engaging in certain activities, unless the adviser provides certain disclosure to investors, as discussed in greater detail below. In the Proposing Release, we solicited comment on whether rule 211(h)(2)-1 should include disclosure requirements. In response to comments received, we have decided to adopt such a requirement. Accordingly, we are requesting comment on this collection of information requirement, and intend to submit these requirements to the OMB for review under the PRA. Responses to the information collection will not be kept confidential. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number.

We published notice soliciting comments on the collection of information requirements in the Proposing Release for the other rules and submitted the proposed collections of information to OMB for review and approval in accordance with 44 U.S.C. 3507(d) and 5 CFR 1320.11. We received general comments to our time and cost burdens stating that we underestimated the burdens.[1810] We also received comments on aspects of the economic analysis that implicated estimates we used to calculate the collection of information burdens.[1811] We discuss these comments below. We are revising our total burden estimates to reflect the final amendments, updated data, new methodology for certain estimates, and comments we received

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[1810] *See, e.g.*, CCMR Comment Letter II (stating that the Proposing Release fails to consider how the proposed rules would interact with certain structural factors inherent in the private funds market to produce additional costs for market participants); IAA Comment Letter II (stating that the Commission underestimated the impact of the proposal on investors, advisers, and private funds).

[1811] *See, e.g.*, Comment Letter of Senator Tim Scott and Senator Bill Hagerty (Dec. 14, 2022) (stating that economic analysis of the financial impact on the private funds market grossly underestimates the costs that market participants will incur in order to comply with the Proposal); SIFMA-AMG Comment Letter I.

to our estimates, including comments received to the economic analysis which implicate our estimates.

As discussed above, we are not applying certain of these rules to advisers regarding SAFs they advise.[1812] Thus, for purposes of the PRA analysis, we do not believe that there will be any additional collection of information burden on advisers regarding SAFs.[1813] We have adjusted the estimates from the proposal to reflect that the five private fund rules will not apply to SAF advisers regarding SAFs they advise.

We discuss below the new collection of information burdens associated with final rules 211(h)(1)-2, 206(4)-10, 211(h)(2)-1, 211(h)(2)-2, and 211(h)(2)-3 as well as the revised existing collection of information burdens associated with the amendments to rules 206(4)-7 and 204-2. Responses provided to the Commission in the context of amendments to rules 206(4)-7 and 204-2 will be kept confidential subject to the provisions of applicable law. Because the information collected pursuant to final rules 211(h)(1)-2, 211(h)(2)-1, 211(h)(2)-2, 206(4)-10, and 211(h)(2)-3 requires disclosures to existing investors and in some cases potential investors, these disclosures will not be kept confidential.

B. Quarterly Statements

Final rule 211(h)(1)-2 requires an investment adviser registered or required to be registered with the Commission to prepare a quarterly statement that includes certain standardized disclosures regarding the cost of investing in the private fund and the private fund's

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1812 *See supra* section II.A (Scope) for additional information. The Commission is not applying all five private fund adviser rules to SAFs advised by SAF advisers.

1813 Similarly, because we are not applying requirements of these rules to advisers with respect to SAFs they advise, we do not expect that there will be any additional burden on smaller advisers for purposes of the Final Regulatory Flexibility Analysis.

performance for any private fund that it advises, directly or indirectly, that has at least two full fiscal quarters of operating results, and distribute the quarterly statement to the private fund's investors, unless such a quarterly statement is prepared and distributed by another person.[1814] If the private fund is not a fund of funds, then the quarterly statement must be distributed within 45 days after the end of each of the first three fiscal quarters of each fiscal year and 90 days after the end of each fiscal year. If the private fund is a fund of funds, then a quarterly statement must be distributed within 75 days after the first, second, and third fiscal quarter ends and 120 days after the end of the fiscal year of the private fund. The quarterly statement will provide investors with fee and expense disclosure for the prior quarterly period or, in the case of a newly formed private fund initial account statement, its first two full fiscal quarters of operating results. It will also provide investors with certain performance information depending on whether the fund is categorized as a liquid fund or an illiquid fund.[1815]

The collection of information is necessary to provide private fund investors with information about their private fund investments. The quarterly statement is designed to allow a private fund investor to compare standardized cost and performance information across its private fund investments. We believe this information will help inform investment decisions, including whether to remain invested in certain private funds or to invest in other private funds managed by the adviser or its related persons. More broadly, this disclosure will help inform investors about the cost and performance dynamics of this marketplace and potentially improve efficiency for future investments.

[1814] *See* final rule 211(h)(1)-2.

[1815] *See* final rule 211(h)(1)-2(d).

Each requirement to disclose information, offer to provide information, or adopt policies and procedures constitutes a "collection of information" requirement under the PRA. This collection of information is found at 17 CFR 275.211(h)(1)-2 and is mandatory. The respondents to these collections of information requirements will be investment advisers that are registered or required to be registered with the Commission that advise one or more private funds.

Based on Investment Adviser Registration Depository (IARD) data, as of December 31, 2022, there were 15,361 investment advisers registered with the Commission.[1816] According to this data, 5,248 registered advisers provide advice to private funds.[1817] We estimate that these advisers, on average, each provide advice to 10 private funds.[1818] We further estimate that these private funds, on average, each have a total of 80 investors.[1819] As a result, an average private fund adviser has, on average, a total of 800 investors across all private funds it advises. As noted above, because the information collected pursuant to final rule 211(h)(1)-2 requires disclosures to private fund investors, these disclosures will not be kept confidential.

Some commenters highlighted the potential costs of the required quarterly statements.[1820] One commenter generally criticized the hours estimates underlying cost estimates in the Proposing Release as unsupported, arbitrary, and possibly underestimated.[1821] One commenter

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1816 Excluding advisers that provide advice solely to SAFs, there were 15,288 investment advisers registered with the Commission.

1817 *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1). The final rule will not apply to SAF advisers with respect to SAFs they advise. These figures do not include SAF advisers that manage only SAFs.

1818 *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1). The final rule will not apply to SAFs. These figures do not include SAFs.

1819 *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1).A., #13.

1820 *See, e.g.*, Alumni Ventures Comment Letter; Segal Marco Comment Letter; Roubaix Comment Letter; ATR Comment Letter; AIC Comment Letter I.

1821 *See* AIC Comment Letter I, Appendix I (stating that the Commission's wage rates used to quantify costs may be underestimated); *But see* LSTA Comment Letter, Exhibit C (stating that the Commission's wage rates are conservatively high and the commenter used a lower wage rate provided by the Bureau of Labor

stated that the introduction of the new regulatory terms that will only be used for complying with the performance reporting requirements under the quarterly statement rule would likely lead to additional compliance burdens and costs for private fund advisers, and that adopting new terms would require private funds to conduct an additional analysis and categorization of their private funds, which would need to be reviewed and potentially reevaluated from time to time.[1822] This commenter also stated that gathering information regarding covered portfolio investments would materially increase compliance burdens and costs to produce such information in adherence with the proposed timing and content requirements.[1823] Another commenter asserted that the Proposing Release failed to take account of the full extent of the likely costs associated with its disclosure requirements.[1824] Specifically, this commenter argued that there could be other costs beyond simply complying with the administrative aspects of the quarterly statement rule and that the Proposing Release fails to consider the operational burden imposed by the frequency and timing of the required reports.[1825]

We were persuaded by commenters who asserted that the proposed burdens underestimated the time and expense associated with the proposed quarterly statement rule. We believe that it will take more time than initially contemplated in the proposal to collect the applicable data, perform and review calculations, prepare the quarterly statements, and distribute them to investors. To address commenters' concerns, and recognizing the changes from the proposal discussed above in Section II.B (Quarterly Statements), we are revising the estimates

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Statistics in its analysis). *See also supra* section VI.D.2 (discussing the Commission's attempts to quantify costs accurately).

1822 *See* SIFMA-AMG Comment Letter I.

1823 *Id*.

1824 *See* CCMR Comment Letter I.

1825 *Id*.

upwards as reflected in the chart below. For instance, to address one commenter's contention that we underestimated the burdens generally, and recognizing the changes from the proposal, we are revising the internal initial burden for the preparation of the quarterly statement estimate upwards to 12 hours. We believe this is appropriate because advisers will likely need to develop, or work with service providers to develop, new systems to collect and prepare the statements. We have also adjusted these estimates to reflect that the final rule will not apply to SAF advisers with respect to SAFs they advise.

We have made certain estimates of this data solely for this PRA analysis. The table below summarizes the initial and ongoing annual burden estimates associated with the final quarterly statement rule.

Table 1: Rule 211(h)(1)-2 PRA Estimates

	Internal initial burden hours	Internal annual burden hours	Wage rate[1]	Internal time cost	Annual external cost burden
ESTIMATES					
Preparation of account statements	12 hours	14 hours[2] (See FN for calculation)	$436 (blended rate for compliance attorney ($425), assistant general counsel ($543), and financial reporting manager ($339))	$6,104 (Internal annual burden times blended wage rate)	$4,590[3] (See FN for calculation)
Distribution of account statements to existing investors	3 hours	5 hours[4] (See FN for calculation)	$73 (rate for general clerk)	$365 (Internal annual burden times wage rate)	$1,059[5] (See FN for calculation)
Total new annual burden per private fund		19 hours		$6,469	$5,649

Avg. number of private funds per adviser		10 private funds		10 private funds	10 private funds
Number of PF advisers		5,248 advisers		5,248 advisers	2,624[6]
Total new annual burden		997,120 hours		$339,493,120	$148,229,760

Notes:

1. The hourly wage rates in these estimates are based on (1) SIFMA's *Management & Professional Earnings in the Securities Industry 2013*, modified by SEC staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits and overhead; and (2) SIFMA's *Office Salaries in the Securities Industry 2013*, modified by SEC staff to account for an 1,800-hour work-year and inflation, and multiplied by 2.93 to account for bonuses, firm size, employee benefits and overhead. The final estimates are based on the preceding SIFMA data sets, which SEC staff have updated since the Proposing Release to account for current inflation rates.

2. This includes the internal initial burden estimate annualized over a three-year period, plus 10 hours of ongoing annual burden hours and takes into account that there will be four statements prepared each year. The estimate of 14 hours is based on the following calculation: ((12 initial hours / 3 years) + 10 hours of additional ongoing burden hours) = 14 hours.

3. This estimated burden is based on the sum of the estimated wage rate of $565/hour, for 5 hours, ($2,825) for outside legal services and the estimated wage rate of $353/hour, for 5 hours, ($1,765) for outside accountant assistance, and it assumes that there will be four statements prepared each year. The Commission's estimates of the relevant wage rates for external time costs, such as outside legal services, take into account staff experience, a variety of sources including general information websites, and adjustments for inflation.

4. This includes the internal initial burden estimate annualized over a three-year period, plus 4 hours of ongoing annual burden hours that takes into account that there will be four statements prepared each year. The estimate of 5 hours is based on the following calculation: ((3 initial hours / 3 years) + 4 hours of additional ongoing burden hours) = 5 hours.

5. This estimated burden is based on the estimated wage rate of $353/hour, for 3 hours, for outside accounting services, and it assumes that there will be four statements distributed each year. *See supra* endnote 1 (regarding wage rates with respect to external cost estimates).

6. We estimate that 50% of advisers will use outside legal and accounting services for these collections of information. This estimate takes into account that advisers may elect to use these outside services (along with in-house counsel), based on factors such as adviser budget and the adviser's standard practices for using such outside services, as well as personnel availability and expertise.

C. Mandatory Private Fund Adviser Audits

Final rule 206(4)-10 will require investment advisers that are registered or required to be registered to cause each private fund they advise, directly or indirectly, to undergo a financial statement audit in accordance with the audit provision (and related requirements for delivery of audited financial statements) under the custody rule.[1826] We believe that final rule 206(4)-10 will protect the fund and its investors against the misappropriation of fund assets and that an audit performed by an independent public accountant will provide an important check on the adviser's

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1826 *See* final rule 206(4)-10. The rule also requires an adviser to *take all reasonable steps* to cause its private fund client to undergo an audit that satisfies the rule when the adviser does not control the private fund and is neither controlled by nor under common control with the fund.

valuation of private fund assets, which generally serve as the basis for the calculation of the adviser's fees. The collection of information is necessary to provide private fund investors with information about their private fund investments.

Each requirement to disclose information, offer to provide information, or adopt policies and procedures constitutes a "collection of information" requirement under the PRA. This collection of information is found at 17 CFR 275.206(4)-10 and is mandatory to the extent the adviser provides investment advice to a private fund. The respondents to these collections of information requirements will be investment advisers that are registered or required to be registered with the Commission that advise one or more private funds. All responses required by the audit rule would be mandatory. One response type (the audited financial statements) would be distributed only to investors in the private fund and would not be confidential.

Based on IARD data, as of December 31, 2022, there were 15,361 investment advisers registered with the Commission.[1827] According to this data, 5,248 registered advisers, excluding advisers managing solely SAFs, provide advice to private funds.[1828] We estimate that these advisers, on average, each provide advice to 10 private funds, excluding SAFs.[1829] We further estimate that these private funds, excluding SAFs, each have a total of 80 investors, on average.[1830] As a result, an average private fund adviser would have, on average, a total of 800 investors across all private funds it advises.

[1827] Excluding advisers that provide advice solely to SAFs, there were 15,288 investment advisers registered with the Commission.

[1828] *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1).

[1829] *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1).

[1830] *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1).A., #13.

One commenter generally criticized the hours estimates underlying the cost estimates in the Proposing Release as unsupported, arbitrary, and possibly underestimated.[1831] Several commenters highlighted the costs associated with the audit rule, stating that it would substantially increase audit prices because, for example, there may be an insufficient number of suitable auditors available.[1832] One commenter asserted that the Commission failed to provide an adequate justification or backup in its analysis.[1833] This commenter argued that the cost estimate is underestimated by at least 100 percent.

We have made certain estimates of this data, as discussed below, solely for this PRA analysis. The table below summarizes the initial and ongoing annual burden estimates associated with the proposed rule's reporting requirement. We have adjusted this estimate upwards from the proposal to reflect the final rule, updated data, new methodology for certain estimates, and comments we received to our estimates asserting that we underestimated these figures in the proposal. We have further adjusted these estimates to reflect that the final rule will not apply to SAF advisers with respect to SAFs they advise.

Table 2: Rule 206(4)-10 PRA Estimates

	Internal initial burden hours	Internal annual burden hours	Wage rate[1]	Internal time cost	Annual external cost burden
ESTIMATES					
Distribution of audited financial statements[2]	0 hours	1.33 hours[3]	$175 (blended rate for intermediate accountant ($200), general accounting	$232.75	$75,000[4]

1831 *See* AIC Comment Letter I.

1832 *See, e.g.*, AIC Comment Letter I; AIMA/ACC Comment Letter; SBAI Comment Letter.

1833 *See, e.g.*, LSTA Comment Letter.

			supervisor ($252), and general clerk ($73))		
Total new annual burden per private fund		1.33 hours		$232.75	$75,000[5]
Avg. number of private funds per adviser		10 private funds		10 private funds	10 private funds
Number of advisers		5,248 advisers		5,248 advisers	5,248 advisers
Total new annual burden		69,798.4[6] hours		$12,214,720[6]	$3,936,000,000[6]

Notes:

1. *See* SIFMA data sets *supra* Note 1 to Table 1 Rule 211(h)(1)-2 PRA Estimates.

2. The audit provision will require an adviser to obtain an audit at least annually and upon an entity's liquidation. To the extent not prohibited, we anticipate that, in some cases, the fund will bear the audit expense, in other cases the adviser will bear it, and in other instances both the adviser and fund will share the expense. The liquidation audit would serve as the annual audit for the fiscal year in which it occurs. *See* rule 206(4)-10.

3. This estimate takes into account that the financial statements must be distributed once annually under the audit rule and that a liquidation audit would replace a final audit in a year. Based on our experience under the custody rule, we estimate the hour burden imposed on the adviser relating to the distribution of the audited financial statements with respect to the investors in each fund should be minimal, approximately one minute per investor. *See* 2009 Custody Rule Release, *supra* footnote 510, at 63.

4. Based on our experience, we estimate that the party (or parties) that bears the audit expense would pay an average audit fee of $75,000 per fund. We estimate that individual fund audit fees would tend to vary over an estimated range from $15,000 to $300,000, and that some fund audit fees would be higher or lower than this range. We understand that the price of the audit has many variables, such as whether it is a liquid fund or illiquid fund, the number of its holdings, availability of a PCAOB registered and inspected auditor, economies of scale, and the location and size of the auditor.

5. We assume the same frequency of these cost estimates as for the internal annual burden hours estimate.

6. Based on Form ADV data, apart from SAFs approximately 88% of private fund advisers already cause their private funds to undergo a financial statement audit. *See* Section VI (Economic Analysis – Economic Baseline – Fund Audits). Accordingly, we expect the incremental burdens associated with the rule to be substantially lower than the figures reflected herein.

D. Restricted Activities

Final rule 211(h)(2)-1 prohibits all private fund advisers from, directly or indirectly, engaging in the following activities, unless they provide written disclosure to investors and, in some cases, obtain investor consent regarding such activities: charging the private fund for fees or expenses associated with an investigation of the adviser or its related persons by any governmental or regulatory authority (other than fees and expenses related to an investigation that results or has resulted in a court or governmental authority imposing a sanction for a